Rules of portfolio construction

TL;DR
Hold 4 to 10 lines. Size each at 10% or more, total 100%. Pick lines that gain or hold when the world shakes, that move for different reasons, and that win in different seasons. Accept price movement. Refuse any line that can go to zero.

1 · The 8 checks

Four checks run on each asset. Four run on the whole mix.

#	Check	Rule
1	Fragility	Test the asset against world shocks. Antifragile gains from shocks. Robust barely reacts. Fragile falls with the market, so it needs a cushion next to it.
2	Danger	Score 0 to 100: can the money go to zero. Low up to 15, medium 16 to 35, high above 35. Refuse high.
3	Season fit	The country's season must favour the asset type now. Result: fit, partial or misfit.
4	Country study	Read debt, resources, advantages, politics, rates and inflation. Decide: take, watch or skip.
5a	Correlation, numbers	Flag any pair at 0.70 or more. Two names, one bet.
5b	Correlation, thesis	Lines that share one reason to own are set side by side. Review each overlap and decide.
6	Season cover	Each of the 4 seasons has at least one winning line in the mix.
7	Position size	At least 4 positions. Each at 10% or more. Total 100%.

2 · The 4 seasons

Two questions per country: is it growing, are prices rising. Growth dial: S&P 500 divided by oil, 7 years. Inflation dial: gold divided by bonds, 7 years.

Season	Growth	Prices	What wins
Inflationary boom	Up	Rising	Gold, then stocks, metals and energy
Inflationary bust	Down	Rising	Cash in a strong currency (Swiss franc), energy
Deflationary boom	Up	Stable	Stocks, efficient companies and technology first
Deflationary bust	Down	Stable	Long bonds of sound states

Hold the winner of the square you are in. Exclude its losers. When prices rise, shorten the horizon: dividends of 4% to 7% beat bond coupons of 1%. Keep about 25% in energy. Every big bear market since 1945 began with an oil shock.

Seasons turn: growth, rising prices, the unpleasant square, quiet recession, growth. The turn can break at the top left. Debt easy at 2% is impossible at 6%, the state prints and the currency goes. That ended 1971 and the 1930s.

3 · The 7 principles of the build

Principle	Rule	Data
Money melts	Beat the printing or lose. Own real things when the state prints.	About 8% new dollars a year. Fewer than 20% of 750 currencies since 1700 still exist.
Movement is not danger	Accept movement: it is the price of return. Refuse danger: the odds of never being paid back. Use collateral and liquidity as the two tools.	S&P 500 moves 15% to 20% a year. A flat 10% a year line was Madoff.
Prudence is a trap	Repeating the last 40 years bets that the world stands still.	Taking the risk of change: 20% odds of survival. Refusing it: 0%.
Value moves	Bet on where value goes in 10 to 20 years: AI, compute, energy. This bet is yours alone.	A new asset class arrives about every 30 years.
Antifragile	Own assets that gain when markets shake: gold, yen, Bitcoin, hinge-city property. Most assets are fragile, which suits calm decades only.	3% of assets are enough to move value.
Decorrelated	Own lines that move for different reasons. 500 US shares feel diversified and fall as one. A mix that offends every specialist is working.	Three waves peaking at different times sum flatter than any one.
Sized	Few lines, each big enough to matter, each able to die. A line too small to hurt is too small to protect.	40 lines at 2% protect from nothing. 3 pockets returning 40%, 30%, 20% survive losing one.

4 · Where to keep it, and the floor

Hinge places: Switzerland, Singapore, Dubai, Miami, Hong Kong. Property there rises when the countries around them shake. Keep money where people are left alone. When gold leaves a country, leave with it.

The floor: earn more than you spend. Treat each other well. Hold strong convictions, and change your mind the day the conditions change. The blow that ends a business comes from the risk left off the list.

5 · Check before you commit

Question	Pass if
How many lines?	4 to 10
Smallest line?	10% or more
Any pair at 0.70 correlation or more?	None, or each reviewed
Any line with danger above 35?	None, or sized to survive its loss
Seasons covered?	All 4 have a winner
Fragile weight?	Each fragile line has a cushion beside it
Country studies done?	Verdict take, watch or skip on each country

Sources: Charles Gave (4 seasons), Ray Dalio (era), Richard Detente and Didier Darcet (danger, antifragility). Checks from jeremylasne.com/invest, data read 2 October 2026. Research tool, not financial advice.